RBA hawkish in near term, while cuts brought forward to 2027

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By Luci Ellis
Chief Economist Westpac Group, Westpac

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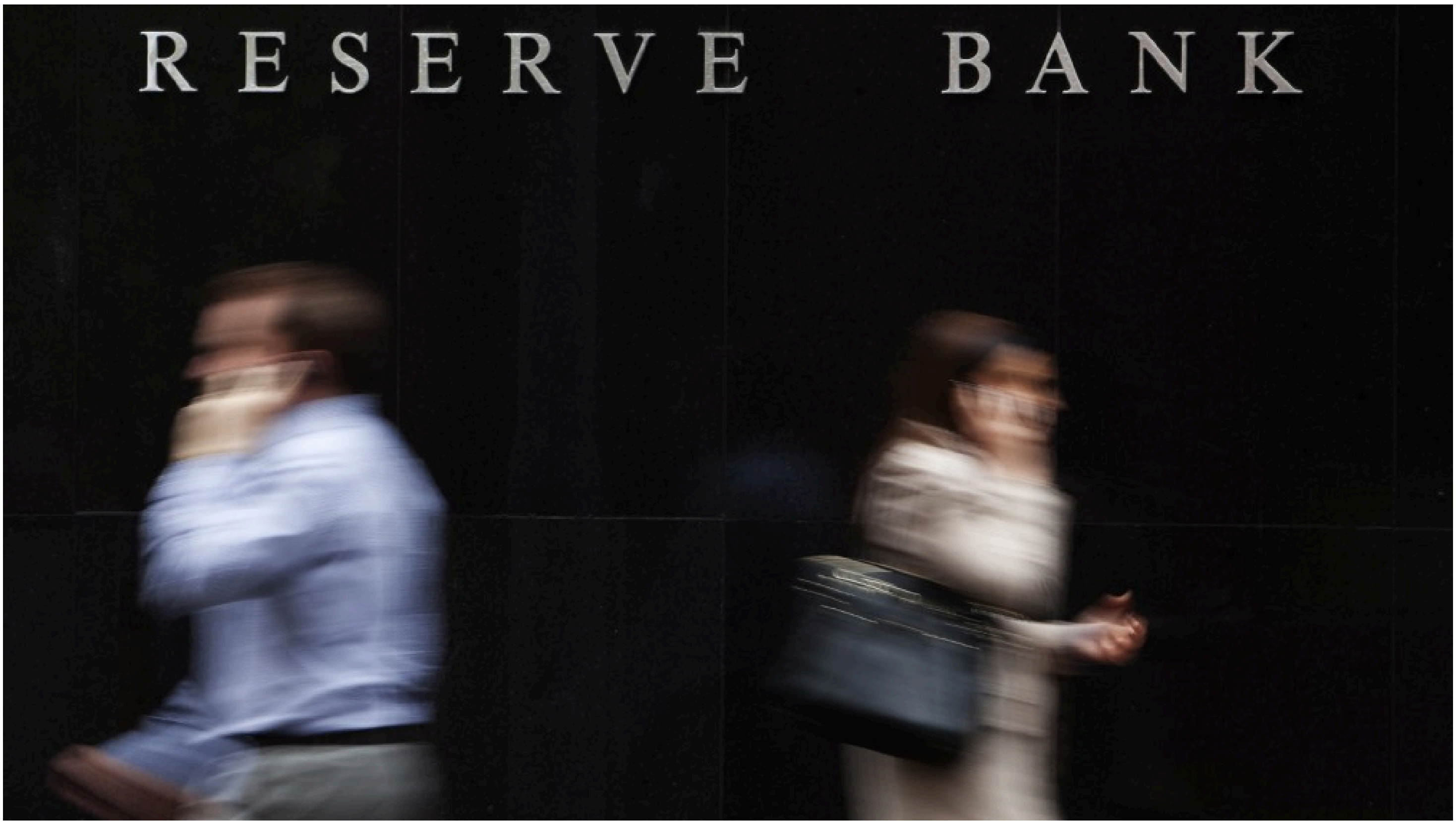
RBA remains hawkish and our conviction regarding a rate hike in August has increased. Follow-up hike is less certain but still our base case, just. Moderation in inflation outlook in 2027 brings forward start of cutting phase to August 2027.



- **Our conviction that the RBA will increase the cash rate in August has increased.** Inflation and labour market data were broadly as we expected, and recent RBA communication has highlighted reasons to hike more – and in a more front-loaded way – in the face of supply shocks. We read the June minutes and recent speeches from the staff as messaging a preference around future decisions, as well as explaining the steep trajectory of the increases that have already occurred.

- Later today we will publish our July *Market Outlook* with updated forecasts. The run of inflation data has been broadly as expected so far but developments in energy markets point to a somewhat less inflationary outlook in coming quarters than previously forecast. Our forecasts for trimmed mean inflation remain a little above the RBA's May SMP forecasts, though less so than before. The changes themselves are minor and continue to incorporate the above-average pass-through of fuel and other cost shocks that we have been flagging for some time and which the RBA has also highlighted.

- **We still regard a follow-up rate hike in September as the most likely outcome, but our conviction about its occurrence and timing has declined.** Our revised forecasts imply underlying inflation will not exceed the RBA's May forecasts in the second half of 2026 by as much as earlier forecasts implied. While a September hike remains our base case – just – there are credible scenarios where the second cash rate increase occurs later or not at all. We expect the Monetary Policy Board (MPB) to remain sanguine about the real economy, even if the activity pulse falters around mid-year as we expect. The MPB continues to believe that the economy is too tight and requires a period of below-average growth to get inflation under control. It also assesses that the oil price and other supply shocks worsen this trade-off by lowering supply capacity.

- **Given this updated inflation outlook, we expect the subsequent rate cuts to come sooner than previously forecast, starting August 2027 rather than early 2028 as previously**. We still think the RBA will be "once bitten, twice shy" from the experience of 2025, when inflation popped back up again almost immediately after it started cutting rates. It will not be pre-emptive in its rate cuts. However, a lower inflation trajectory in 2027 will be hard for it to ignore, especially if growth undershoots its (downbeat) assessment of supply capacity by as much as our GDP forecasts imply. This is a timing shift in our rates forecast, and we continue to expect a relatively tentative pace of rate cuts of 25bps per quarter.

The MPB kept the cash rate on hold at its June meeting as expected. Having already hiked three times in quick succession, it had space to assess how these were flowing through to the economy. The post-meeting communication and subsequent speeches have noted that policy tightening was affecting the economy broadly as expected.

The near-term path for the cash rate nonetheless remains on the hawkish side and our conviction around our expectation of an August hike has risen, subject to confirmation once the June quarter CPI data are released. The post-meeting communication added language stating that the MPB stood ready to hike if needed. This drafting decision is unusual for an RBA statement, and was a stronger steer than previously. It suggests that the MPB wanted to hose down recent speculation that they are done hiking rates. Its assessment of the real economy in both the post-meeting communication and the minutes was sanguine, and it is clearly more worried about upside risks to inflation than downside risks.

Subsequent speeches by senior RBA officials have highlighted reasons to be hawkish, and specifically to front-load policy responses to inflation risks. As we noted back in May, it has long been known that inflation responds more to changes in economic slack when the economy is tight than when it is weak (that is, the Phillips Curve is nonlinear), and to larger shocks than smaller ones. The RBA staff have nonetheless chosen to highlight this relationship recently, especially in the context of the sequence of supply shocks seen in recent years. Both we and they assess this context as likely to continue, with further policy-driven shocks probable in the period ahead. The latest outbreak of hostilities in the Middle East underlines this possibility.

Further out, the outlook is less hawkish than before. The recent flare-up in the Middle East still leaves energy prices well below their earlier peaks. The narrative of fuel and other transport costs driving other prices has faded; we have seen few announcements in this vein lately. The partial extension of the cut to fuel excise will also smooth the path of these costs and reduce the pulse to inflation from the unwind of this policy measure. While this episode of pass-through has been unusually strong – as we flagged some months ago – we now have more conviction that it is mostly a one-off level shift and not an ongoing lift in the inflation trend. Consequently, the inflation outlook for 2027 is not quite as far above the RBA's own May forecasts as we previously thought. This brings forward the likely timing of the unwind of current tight monetary policy. However, the MPB will be cautious in its approach to easing policy given its experience last year.

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